

There were literally no trades for a long time. There were no bids.

Wasn't there a settlement price anywhere?

No, this was the Wild West. Traders marked their own book. No one checked it. Smoothing losses was the status quo.

How much was the ultimate loss?

I don't remember exactly, but I sold it somewhere higher than 100,000.

So the company wasn't a fraud then?

No, the article turned out to be total nonsense. That trade taught me a very valuable lesson: Price is irrelevant; it is size that kills you. If you are too big in an illiquid stock, there is no way out. I wanted to cut the position, but I couldn't. The other lesson this trade taught me is to focus on what works. The trade was just a punt. I bought it because I thought the momentum would carry it up. After that trade, I became much more focused on just looking for arbitrage trades, which was where I was making most of my money.

How did you make a transition from a market maker role to a hedge fund manager?

After Lehman, I switched to NatWest. It was the same job, but a much bigger business. I was hired to run market making for international shares. After three years there, I got bored, and I also wanted to make more money. I told them that I was leaving to set up a hedge fund. I really had no concept of what setting up a hedge fund involved, but I figured whatever it was, I could do it. They told me if I left then, I wouldn't get my bonus. But I didn't care. I found a hedge fund manager who said he would seed me with \$5 million. I then spent several months getting the hedge fund set up. By the time I was done and ready to go, he wouldn't return my phone calls. He had been annihilated by the bond market in 1994 and had lost most of his assets. He clearly wasn't going to speak to me. So I had a hedge fund with no assets.

Didn't you think about where you would raise the money before you decided to leave NatWest to start a hedge fund?

No.